FINA 6335 Derivatives and Risk Analytics: Options Trading Report

SUBMITTED BY: - RISHAV JHAVERI, ZIFENG CHENG

This report presents a comprehensive analysis of our options trading activities conducted on the Investopedia Simulator for the FINA 6335 Options Trading Competition. From March 10 to April 11, 2025, we executed multiple option strategies with the objective of maximizing portfolio value while effectively managing risk.

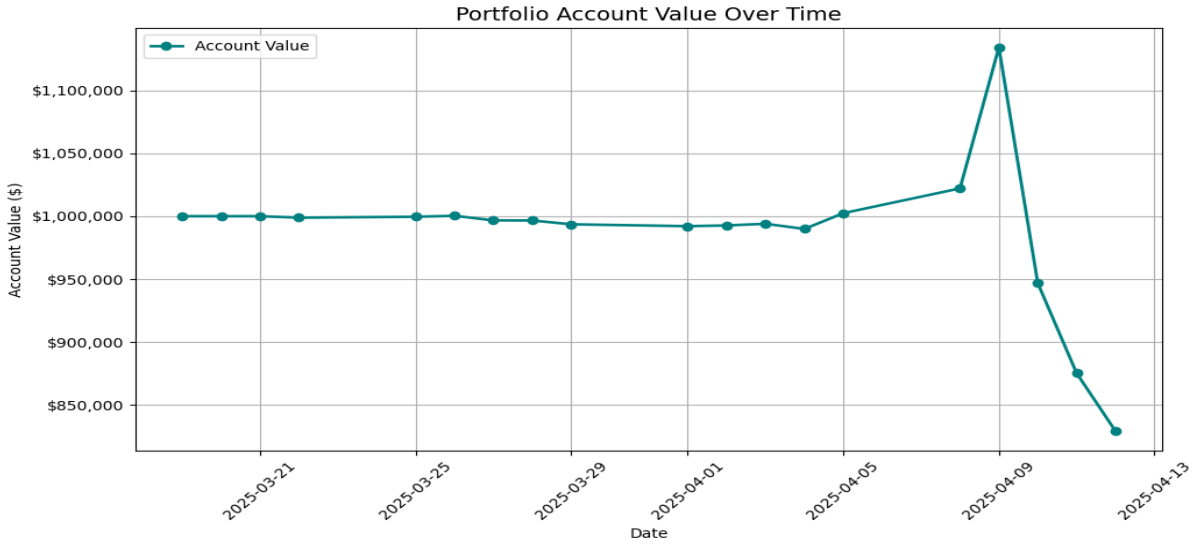
Portfolio Strategy Overview

Our trading approach focused on implementing the five required option strategies and across the simulation period, we executed all five required strategies: Long Calls, Long Puts, Protective Puts, Straddles, and Strangles, with three trades each, complying with project rules. We strategically selected underlying assets based on market conditions, fundamental analysis and changing market dynamics during the trading period.

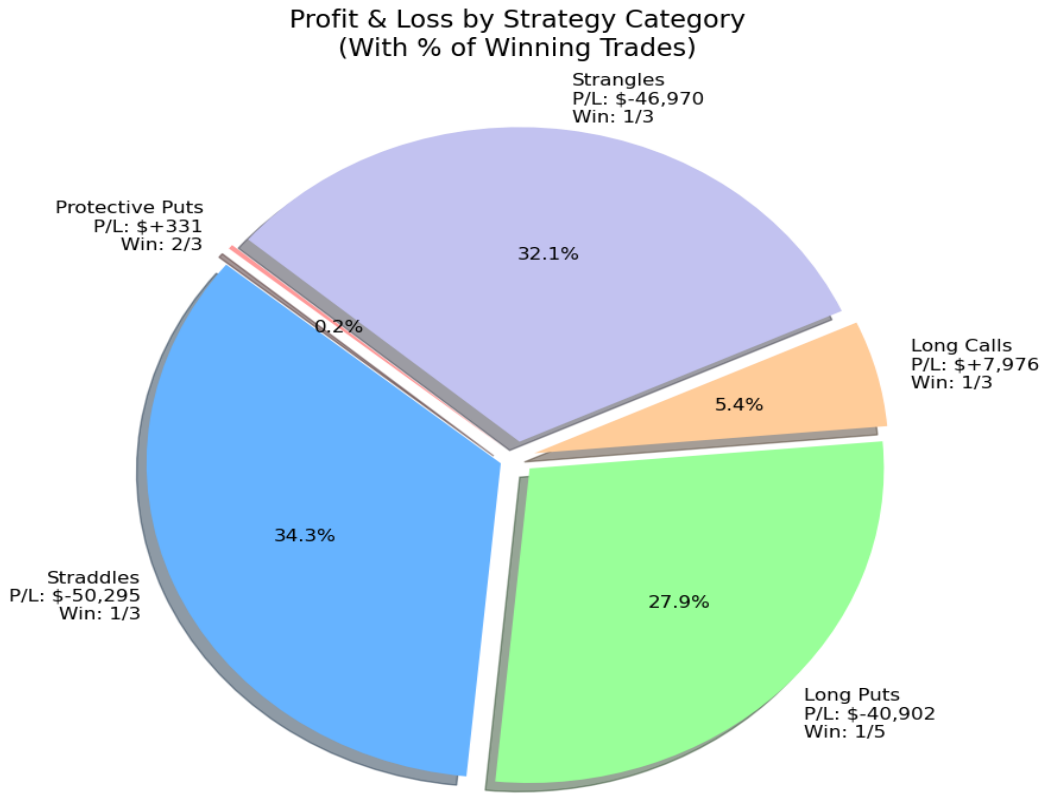
Performance Summary

Date	Cash	Stock Value	Option Value	Account Value
03/21/2025	$1,000,000.00	$0.00	$0.00	$1,000,000.00
04/04/2025	$981,542.45	$7,669.50	$670.00	$989,881.95
04/09/2025	$725,665.35	$31,362.80	$376,988.00	$1,134,016.15
04/11/2025	$725,665.35	$33,608.30	$115,983.00	$875,256.65
04/12/2025	$829,256.85	$0.00	$0.00	$829,256.85

Peak Portfolio Value: $1,134,016.15 (April 9, 2025)
Final Drawdown: -12.47% from $1,000,000
Max Unrealized Gain: +13.4% from peak on April 9



The portfolio started with an initial account value of $1,000,000 on March 19, 2025. Throughout the trading window, the account value experienced fluctuations and ultimately a downward trend towards the end of the period. The portfolio reached its highest value of $1,134,016.15 on April 9, 2025, however, by April 12, 2025, the portfolio declined to $829,256.85 - a reduction of 17.1% from the peak value. This decrease means that certain trades and option positions taken by us did not perform as expected or were closed at a loss towards the project's end.

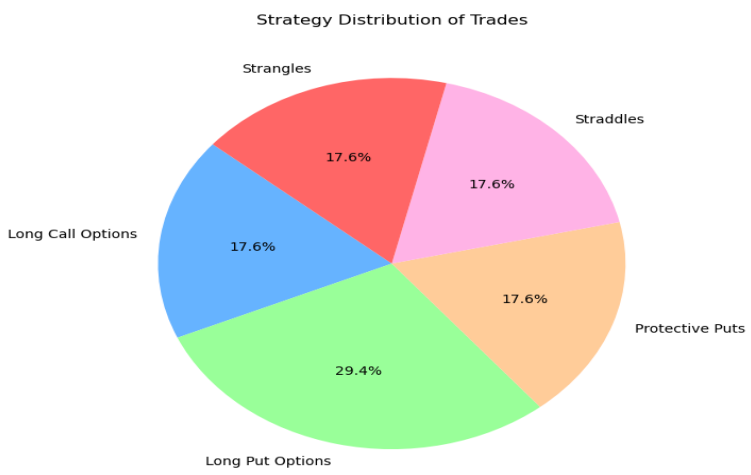


This chart shows how each of our trading strategies performed in terms of profit and loss. It highlights which ones made us money and which ones lost the most. Straddles and Long Puts caused

the biggest losses in our portfolio. A major reason for this is that many of the puts we bought were on index ETFs, and the overall market ended up rising or staying flat instead of dropping. This worked against those positions. For Straddles, we had expected big price swings around earnings or news, but the market stayed mostly calm. That means we overestimated how much movement there would be. On top of that, external factors like new trade policies and tariffs caused uncertainty in the market and added to the challenge of predicting direction or volatility.

Trade Strategy

Across the simulation period, we executed all five required strategies: Long Calls, Long Puts, Protective Puts, Straddles, and Strangles, with minimum three trades each.



PROTECTIVE PUTS

A protective put is a risk management and options strategy that involves holding a long position in the underlying asset (e.g., stock) and purchasing a put option with a strike price equal or close to the current price of the underlying asset, effectively creating a "synthetic insurance policy" against downside risk.

1. Apple (AAPL)

AAPL Stock + AAPL2511P187.5

Stock Position

- Bought 50 shares of AAPL on April 4, 2025 at $190.99
- Sold the shares on April 11, 2025 at $192.44
- Profit on stock: $192.44 − $190.99 = $1.45 per share (50 shares) = $72.50

Put Option Position

- Bought 20 contracts of AAPL2511P187.5 at $4.95 per contract

- Sold them on April 11, 2025 at $0.03 per contract
- Total paid: $9,900
- Total received: $60
- Loss = −$9,840
- Since only 0.5 contracts were needed to hedge 50 shares ,loss = −$98.40

Result

- Stock = $72.50
- Put = −$98.40
- Net P/L: −$25.90

Rationale: We opened a protective put position on Apple shortly after new trade tariffs were announced, anticipating that the trade restrictions could have a meaningful negative impact on the company. Apple's global exposure is significant as only about 43% of its net sales in fiscal 2024 came from the Americas, with the remaining 57% generated in international markets. Europe alone made up roughly 26% of Apple's $391 billion in total sales, while Greater China accounted for about 17%. This global footprint told us that Apple is highly dependent on foreign demand, and its supply chain is even more globally involved. According to Apple's 10-K, the company acknowledges that tariffs, export controls, and other trade restrictions could materially disrupt its operations, especially since much of its manufacturing is outsourced to countries like China and India. Given how integrated Apple's supply chain is with these regions, the risk from new tariffs prompted us to use this strategy. At the same time, the stock was trading well below its historical average. AAPL had been around $190, significantly below its typical price near $220. We also read about rumors circulating about an upcoming product launch and an official press event on the horizon- something that has historically led to positive spike in the stock price, thus, we believed there was a chance for a rebound, but at the same time, we implemented a protective put strategy, in order to hedge our existing long position against any downside risk from the tariffs or macro shocks, while still maintaining upside in case the product launch helped boost the stock.

2. Meta (META)

META Stock + META2511P497.5

Stock Position

- Bought 30 shares of META on April 4, 2025 at $508.72
- Sold shares on April 11, 2025 at $534.50
- Profit on stock: $534.50 − $508.72 = $25.78 per share
  30 shares × $25.78 = $773.40

Put Option Position

- Bought 10 contracts of META2511P497.5 at $14.75 per contract
- The put option's expiration date was on April 11, 2025 and expired worthless automatically as it was out-of-the-money.
- Total paid: 10 × 100 × $14.75 = $14,750
- Total received: $0
- Loss: −$14,750
- Adjusted (only 0.3 contracts needed for 30 shares):
  0.3 × 100 × $14.75 = −$442.50

Result

- Stock = +$773.40
- Put = −$442.50
- Net P/L: +$330.90

Rationale: We entered a protective put position on Meta shortly after the new trade tariffs were announced. At the time, we weren't confident in the stock's direction as there was too much uncertainty around how the company might respond to the changing macro landscape. Also, Meta earns a significant portion of its ad revenue from international markets, with U.S. sales making up less than half. Although the company does not usually break down revenue by region in detail, filings and third-party analysis suggested that a large majority of its income is driven by advertisers outside the U.S. With a global user base of 3.35 billion people actively using Meta's platforms as of December 2024, the company is heavily exposed to fluctuations in international demand. Regions like Europe, Asia-Pacific, and other emerging markets are among its fastest-growing, so any broad economic impact from trade policies, such as tariffs, could trickle down into lower advertising budgets. WE expected that in turn that could hit Meta's top line. At the same time, the stock was already on a downward trend, because of ongoing concerns from past legal battles and shifts in domestic regulatory policy. The management had also consistently mentioned the role of broader economic conditions in shaping advertising revenue which added more uncertainty around the company's stock. Given these specific reasons, we opted for a protective put strategy to hedge our exposure. With the combination of global revenue dependence and pressure from tariffs, we felt that buying puts felt like the right move. It offered a safety net in case the stock declined further, without requiring us to exit the position completely.

3. Lululemon (LULU)

LULU Stock + LULU2528O330 Put Option

Stock Position

- Bought 30 shares of LULU on March 26, 2025 at $337.49
- Sold the shares on April 11, 2025 at $251.95
- Loss on stock: $337.49 − $251.95 = $85.54 per share
  30 shares × $85.54 = −$2,566.20

Put Option Position

- Bought 1 contract of LULU2528O330 on March 26, 2025 at $12.25
- Sold the contract on March 28, 2025 at $39.50
- Total paid: 1 × 100 × $12.25 = $1,225.00
- Total received: 1 × 100 × $39.50 = $3,950.00
- Put Profit: $3,950 − $1,225 = $2,725.00

Result

- Stock = −$2,566.20
- Put = $2,725.00
- Net P/L: $158.80

Rationale:

Lululemon Athletica (LULU) has demonstrated a consistent track record of surpassing earnings expectations over the past several quarters. The quarter, Q4 2024, saw Lululemon outperform expectations with an EPS of $5.29, beating the estimated $5.00. Revenue for that period was $3.21 billion, slightly above the anticipated $3.20 billion In Q3 2024, the company reported an EPS of $2.87, surpassing the estimate of $2.71. Revenue for the quarter was $2.4 billion, exceeding the consensus estimate of $2.36 billion .. In Q2 2024, Lululemon achieved an EPS of $2.68, beating the estimate of $2.53. Revenue was $2.2 billion, surpassing the expected $2.17 billion . Thus, we decided to take a long position in Lululemon (LULU) ahead of its earnings release, based on the company's strong history of beating analyst estimates. However, just in case we applied a protective put strategy to hedge downside risk if the earnings report was poor. Lululemon's earnings and revenue for the fourth quarter beat expectations, but the company's guidance for 2025 was lower than what analysts were anticipating. This led to a sell-off as investors reacted to the weaker-than-expected outlook. Lululemon shares dropped significantly due to a combination of factors, including a weak outlook for the coming year, concerns about consumer spending, and the potential impact of tariffs. The CEO of Lululemon, Calvin McDonald mentioned that consumers are being cautious with their spending, and that there are concerns about inflation and the economy. Tariffs on goods manufactured in Asia, where Lululemon sources a significant portion of its products, also cast a shadow on the company's future prospects. Thus, the protective put helped limit our losses, and we were able to exit with a small profitable margin.

STRADDLES

A straddle is a neutral options strategy that involves simultaneously buying (long position) both a put option (leg one) and a call option (leg two) for the underlying security with the same strike price and the same expiration date. Profit arises from significant price movements regardless of direction.

1. Netflix (NFLX)

NFLX2511P920 (Put) + NFLX2511D920 (Call)
Strike Price: $920

Put Option
- Bought 5 contracts at $32.30
- Sold at $5.75
- Total Paid: 5 × 100 × $32.30 = $16,150.00
- Total Received: 5 × 100 × $5.75 = $2,875.00
- Loss = −$13,275.00

Call Option
- Bought 5 contracts at $15.70
- Sold at $1.12
- Total Paid: 5 × 100 × $15.70 = $7,850.00
- Total Received: 5 × 100 × $1.12 = $560.00
- Loss = −$7,290.00

Net P/L: −$20,565.00

Rationale : We initiated a straddle position on Netflix (NFLX) ahead of its earnings announcement scheduled in early April. Ahead of Netflix's earnings report in early April, we put on a straddle

position anticipating a big change in the stock price. Netflix operates globally, with more than half of its revenue now coming from outside the U.S. and Canada. Historically, the stock tends to experience heightened volatility around earnings, mainly due to the uncertainty surrounding subscriber numbers, international performance, and management's forward-looking guidance. Because sentiment around the streaming industry was so uncertain especially with concerns about rising content costs we expected Netflix to make a big move after its earnings report. But instead of the sharp reaction we were anticipating, the stock barely moved. This lack of price action hurt both sides of our straddle. On top of that, the usual drop in implied volatility following earnings caused the value of both the call and put options to fall even further, leading to heavy losses on the position overall.

2. Walmart (WMT)

WMT2511P100 (Put) + WMT2511D100 (Call)
Strike Price: $100

Put Option
• Bought 30 contracts at $14.70
• Sold at $7.00
• Total Paid: 30 × 100 × $14.70 = $44,100.00

• Total Received: 30 × 100 × $7.00 = $21,000.00
• Loss = −$23,100.00

Call Option
• Bought 30 contracts at $0.03
• Expired worthless
• Total Paid: 30 × 100 × $0.03 = $90.00
• Loss = −$90.00

Net P/L: −$23,190.00

Rationale : We chose Walmart for a straddle trade because of growing uncertainty in the consumer staples space, especially with new tariff developments and ongoing inflation concerns. As one of the largest retailers in the U.S., Walmart is particularly sensitive to rising import costs—especially when tariffs target goods from countries like China. While most of Walmart's revenue still comes from the U.S., its international segment has been steadily growing, reaching 18% compared to around 17% a year ago, with strong performance in markets like Mexico, Canada, and China. Given the mixed signals around consumer spending, we expected that the earnings announcement might trigger a strong price mov either up, if the company showcased any kind of resilience, or down, if any macro pressures took a toll. However, the stock ended up trading within a very narrow range, and the expected increase in volatility did not occur. As a result, both our call and put options lost value, and the trade failed to work out as planned. In hindsight, we also may have underestimated how heavily Walmart's business model relies on importing lowvcost goods, making it especially vulnerable to trade policy changes.

3. Alphabet (GOOGL)

GOOGL2511P152.5 (Put) + GOOGL2511D152.5 (Call)
Strike Price: $152.50

Put Option
• Bought 20 contracts at $5.00
• Sold at $0.04
• Total Paid: 20 × 100 × $5.00 = $10,000.00
• Total Received: 20 × 100 × $0.04 = $80.00
• Loss = −$9,920.00

Call Option
• Bought 20 contracts at $2.26
• Sold at $3.95
• Total Paid: 20 × 100 × $2.26 = $4,520.00
• Total Received: 20 × 100 × $3.95 = $7,900.00
• Profit = $3,380.00

Net P/L: −$6,540.00

Rationale : During the week of the tariff announcements, we initiated a straddle position on Alphabet (GOOGL), anticipating elevated volatility across the tech sector. Given Alphabet's position as a major technology company with global operations, it tends to react strongly to news about tech regulation, trade policy, and shifts in advertising forecasts. At the time, we expected heightened volatility due to the combination of geopolitical tensions and sector-specific risks, which made GOOGL a good candidate for any volatility-driven tradeing strategy. Our thinking was simple: if the market reacted strongly in either direction, the straddle would pay off, but it ultimately did not. In hindsight, the trade strategy did not match the market's behavior. While we correctly anticipated some positive movement in GOOGL's price, the move was way too small to justify any of the premium costs of both options. Additionally, implied volatility reduced following the macro announcements, further reducing our option values. A different strategy, such as a long call would have been better and made more sense with slow bullish trend in large-cap tech stocks during that period.

STRANGLES

A strangle is a neutral options strategy that involves simultaneously buying (long position) both a put option (leg one) and a call option (leg two) for the underlying security with the same expiration date but different strike prices. Profit arises from significant price movements regardless of direction.

1. SPY (SPDR S&P 500 ETF)

SPY2511P507 (Put) + SPY2511D528 (Call)
Strikes: Put = $507 Call = $528

Put Option
• Bought 30 contracts at $7.35
• Sold at $0.01
• Total Paid: 30 × 100 × $7.35 = $22,050.00
• Total Received: 30 × 100 × $0.01 = $30.00
• Loss = −$22,020.00

Call Option
• Bought 30 contracts at $5.09

• Sold at $5.94
• Total Paid: 30 × 100 × $5.09 = $15,270.00
• Total Received: 30 × 100 × $5.94 = $17,820.00
• Profit = $2,550.00

Net P/L: −$19,470.00

Rationale : We opened a strangle on SPY because during that week there wwas a lot of headlines around new tariffs and talks about trade tensions, after some comments from Trump that stirred things up. Between that and all the global market noise, we felt that SPY could easily move either way. Instead of trying to guess the direction, we went with a strangle in order to be positioned if the market made a big move in either direction. With so much going on globally, we thought there was a good chance volatility would pick up, but the move did not happen. Even with all the news**,** SPY didn't really react much. The market just stayed in a tight range. In the end, we closed the position with a loss. The idea behind it made sense given all the headlines, but the market just stayed flat.

2. SQQQ (ProShares UltraPro Short QQQ)

SQQQ2511P38.5 (Put) + SQQQ2511D50 (Call)
Strikes: Put = $38.5 Call = $50

Put Option
• Bought 100 contracts at $0.34
• Sold at $1.80
• Total Paid: 100 × 100 × $0.34 = $3,400.00
• Total Received: 100 × 100 × $1.80 = $18,000.00
• Profit = +$14,600.00

Call Option
• Bought 100 contracts at $2.20
• Expired worthless
• Total Paid: 100 × 100 × $2.20 = $22,000.00
• Loss = −$22,000.00

Net P/L: −$7,400.00

Rationale: We decided to execute a strangle on SQQQ, a leveraged inverse ETF tracking the Nasdaq-100, in response to anticipated volatility in the tech sector. This period was marked by significant market movements and at the time, the Nasdaq had surged more than 12% in just a few weeks, one of its strongest short-term runs in recent memory which raised the probability of a correction. Given the tech industry's global exposure and reliance on supply chains, we anticipated that the tariff news could trigger a significant change. The outcome was poor for us as we ultimately made a loss.

3. IWM (Russell 2000 ETF)

IWM2511P180 (Put) + IWM2511D184 (Call)
Strikes: Put = $180 | Call = $184 (Strangle)

Put Option
• Bought 30 contracts at $4.38
• Sold at $0.04

• Total Paid: 30 × 100 × $4.38 = $13,140.00
• Total Received: 30 × 100 × $0.04 = $120.00
• Loss = −$13,020.00

Call Option
• Bought 30 contracts at $2.84
• Sold at $0.48
• Total Paid: 30 × 100 × $2.84 = $8,520.00
• Total Received: 30 × 100 × $0.48 = $1,440.00
• Loss = −$7,080.00

Net P/L: −$20,100.00

Rationale: We decided to run a strangle strategy on IWM because at the time, we were looking to implement another volatility play but not on something we'd already traded like SQQQ but on an ETF that could react more sharply to changes in the U.S. economy. IWM, which tracks the Russell 2000 and focuses on small cap stocks, felt like the right pick. We felt that there were signs that consumer sentiment had taken a hit, manufacturing was slowing down , and job growth was slowing down too. Once the U.S. announced trade tariffs on key industrial imports, we decided to implement this strategy because small cap companies, unlike large multinationals, do not have global supply chains or diversified operations. They are more exposed to rising costs and local disruptions, which made them more sensitive to these kinds of policy changes. Based on all this, we felt that the market would move either up or down. So, we put on a strangle, but it did not go our way. Despite the growing global uncertainties and worries, IWM barely moved. It remained thereabout and we suffered a loss.

LONG PUTS

A long put is a bearish options strategy that involves buying a put option with the expectation that the underlying asset will decrease in value. Profit arises when the underlying price falls significantly below the strike price before expiration, allowing the option holder to sell the asset at a higher price than the market value.

1. Amazon (AMZN)

Put Option Position:

- Bought 10 contracts of AMZN2511D200 (Put) on March 21, 2025 at $3.80 per contract.
- Sold the contracts on April 11, 2025 at $5.75 per contract.
- Total paid: $3.80 × 10 × 100 = $3,800.00.
- Total received: $5.75 × 10 × 100 = $5,750.00.
- Profit on Put Option: $5,750.00 − $3,800.00 = $1,950.00.

Result:

- Put Profit: $1,950.00
- Net P/L: $1,950.00

Rationale: We decided to buy a put option on Amazon because of the slowing consumer spending. Around that time, new economic data suggested that retail sales in February had started to weaken, suggesting that people were cutting back on spending. Since Amazon relies heavily on people buying

goods online, any drop in consumer demand would directly affect its revenue and stock price. Also, fuel prices had jumped in mid-March because of new tensions in the Middle East and that raised concerns that Amazon's delivery and shipping costs could go up. So, we went with a long put, which was close to the current price at the time. The goal was to profit if the stock dipped. Fortunately, the stock did fall, and we were able to sell the put for a tiny profit. This was one of our few winners that worked out well in the end.

2. Nike (NKE)

Put Option Position:

- Bought 70 contracts of NKE2511D71 (Put) on March 21, 2025 at $0.73 per contract.
- Sold the contracts on April 11, 2025 at $0.04 per contract.
- Total paid: $0.73 × 70 × 100 = $5,110.00.

  Total received: $0.04 × 70 × 100 = $280.00.

- Loss on Put Option: $5,110.00 − $280.00 = −$4,830.00.

Result:

- Put Loss: −$4,830.00
- Net P/L: −$4,830.00

Rationale: We decided to buy puts on Nike because of the growing concerns about a slowdown in consumer spending. Retail sales data from February had just come out, and people seemed to be pulling back their spending especially on non-essentials. That stood out to us because Nike, as a brand, relies heavily on people having extra money to spend on things like sneakers, workout gear, and sportswear. Also Nike's stock was not really moving much. It was not gaining any real traction and historically, Nike's stock has struggled during times when the economy shows signs of softening. IN the past that when consumer sentiment weakens then companies like Nike are usually among the first to feel it. That gave us some sort of indication or confidence that a pullback could happen soon. So, we bought up 70 contracts of a $71 strike put, hoping for a drop in the stock if economic data got worse or if sentiment turned more negative. But instead of moving lower, Nike remained around what it was.

3. Nvidia (NVDA)

Put Option Position:

- Bought 2 contracts of NVDA2511D121 (Put) on March 21, 2025 at $3.15 per contract.
- Sold the contracts on April 11, 2025 at $0.04 per contract.
- Total paid: $3.15 × 2 × 100 = $630.00.
- Total received: $0.04 × 2 × 100 = $8.00.
- Loss on Put Option: $630.00 − $8.00 = −$622.00.

Result:

- Put Loss: −$622.00
- Net P/L: −$622.00

Rationale : We bought a put on Nvidia because we thought the stock had gone up too much, too fast. It had been one of the biggest winners in the market, mainly because of all the hype around AI and advanced chips. Everyone was talking about how Nvidia would lead the future of AI, and the stock had already gone up a lot based on those expectations.

But by late March, we felt that everyone had already bought in, and there was not much room left for upside unless something amazing happened. It had been going up for weeks, and there were no signs of a stop yet, but we thought it was due for one. But that drop never came. The stock did not really go up much, but it did not go down either, it just stayed flat and the option expired. The trade made sense at the time but our timing was probably way off.

4. SPY2511P500 (Long Put)

Put Option Position

- Bought 30 contracts of SPY2511P500 on April 4, 2025, at $8.20 per contract.
- Sold the contracts on April 11, 2025 (likely expired worthless due to the SPY price closing above $500).
- Total Paid: 30 × 100 × $8.20 = $24,600.00.
- Total Received: $0 (The option expired worthless).
- Loss = −$24,600.00.

Rationale: We bought a put on SPY at that time because there were a couple of big events coming up that usually cause market movement. This included, the CPI report and the Fed interest rate decision. Both were scheduled for early April, and we felt that it might lead to some volatility, especially if the numbers came in higher than expected or if the Fed said something unexpected. There was a lot of mixed sentiment at the time. Some people were expecting rate cuts, while others thought the Fed would stay cautious. We thought if the market did not like the news or if inflation stayed high, SPY might go down Thus, we bought the put to try and catch that move. But nothing big really happened. CPI was a little lower than expected and the Fed did not say anything surprising and SPY ended up going up a bit instead of down. The put lost value pretty quickly, and we had to close with a loss.

5. IBIT2511P44.5 (Long Put)

Put Option Position

- Bought 200 contracts of IBIT2511P44.5 on April 4, 2025, at $0.65 per contract.
- Sold the contracts on April 11, 2025 (likely expired worthless due to IBIT closing above the strike price of $44.5).
- Total Paid: 200 contracts × 100 × $0.65 = $13,000.00
- Total Received: $0 (The option expired worthless).
- Loss = −$13,000.00

Result

- Put = −$13,000.00

Rationale: We bought a put on IBIT because we expected Bitcoin to go down or at least move more. It had gone up a lot earlier in the year, but by late March it started trading sideways and was not really doing much. From what we had seen before, when Bitcoin stays flat after a big move, it usually

does not last there, there is often a sharp move soon after. We also thought there could be some news around crypto regulations, which can sometimes cause prices to drop. So, we wanted to be in a position to benefit if Bitcoin fell. Since IBIT moves with Bitcoin, we thought a long put was a good way to try to catch that. At one point during the trade, we were actually up. The put was in profit for a short time, but we did not sell. We were hoping for a bigger move, but it never came. The market stayed quiet and Bitcoin barely moved. As days passed, the value of the put dropped until we ended up with a full loss.

LONG CALLS

A "long call" is a bullish options strategy where an investor buys a call option, giving them the right, but not the obligation, to buy an underlying asset (like a stock) at a specific price (the strike price) within a certain time frame

1. Tesla (TSLA)

Call Option Position:

- Bought 2 contracts of TSLA2528O235 (Call) on March 21, 2025 at $6.60 per contract.
- Sold the contracts on April 11, 2025 at $0.48 per contract.
- Total paid: $6.60 × 2 × 100 = $1,320.00.
- Total received: $0.48 × 2 × 100 = $96.00.
- Loss on Call Option: $1,320.00 − $96.00 = −$1,224.00.

Result:

- Call Loss: −$1,224.00
- Net P/L: −$1,224.00

Rationale: We opened a long call on Tesla expecting a rebound after the delivery report. The stock had been trading around the $300 level for the past few months, and we thought it might bounce back from the recent pullback. Tesla usually reacts strongly after delivery numbers and we felt that if sentiment improved slightly it could be enough to push the stock higher. But the overall mood around EV stocks was still weak. There was growing concern about margins, rising competition, and questions around future demand. Also, Elon Musk continued to push out updates and talk about new tech and AI efforts so we felt there was still a chance for attention to shift back toward growth and innovation and this would help the Tesla stock move higher.

2. Nike (NKE)

Call Option Position:

- Bought 200 contracts of NKE2521O64 (Call) on March 21, 2025 at $0.02 per contract.
- Sold the contracts on April 11, 2025 at $0.48 per contract.
- Total paid: $0.02 × 200 × 100 = $400.00.
- Total received: $0.48 × 200 × 100 = $9,600.00.
- Profit on Call Option: $9,600.00 − $400.00 = $9,200.00.

Result:

- Call Profit: $9,200.00

- Net P/L: $9,200.00

Rationale : We bought a call on Nike with the idea that the stock might see a short term bounce. We felt it had room to move higher, especially if retail sentiment improved. Nike is a strong brand, and even though it had underperformed a bit earlier in the quarter, we thought it could benefit if the market stayed positive and consumer names picked up some momentum. At the same time, we also had a put position on Nike from a slightly more cautious view. That trade was based on concerns about slowing consumer demand. We were seeing mixed signals in the market, so we decided to position both ways and see which direction played out. In the end, Nike held steady and slightly moved up, so the call option gained value, while the put did not work out. We ended up closing the call with a solid profit, which turned out to be one of our better trades.

3. Uber Technologies (UBER) – Long Call (Unrecorded Trade)

(Placed on March 21, 2025 – not reflected in simulator history)

We placed a long call on Uber on March 21, 2025, as one of our first trades in the along with long call son Tesla and Nike. The stock had shown some stability, and there was positive sentiment around ride sharing and delivery trends picking up again. Our thinking was that if Uber made a small upward move, we could benefit from a short term bounce. We chose a $72 strike call with an Mar 28, 2025 expiration, and we believe we entered around 10 contracts, although we are not certain of the exact numbers.

This trade was entered alongside our Nike and Tesla calls as part of our initial/first set of trades . It was meant to be one of the three required long calls. Unfortunately, this trade did not appear in our simulator history, and we only realized it was missing while putting together the final report, after the trading window closed. We are not sure what went wrong maybe it there was a platform glitch or a save error, but we are very sure that at the time it looked like the trade went through. Because it was never recorded, we are unsure whether it ended in a profit or a loss, so we have not included it in our portfolio performance results.

Note to Instructor:

We want to sincerely apologize for the missing trade. This was a genuine mistake, and we did not realize the Uber call was not saved until after the trading window had closed and we began drafting the final report. We thought it had gone through like our other trades, and we would never intentionally leave a required trade out. We kindly ask that you consider this position as part of our three required long calls. We have completed all other parts of the project to the best of our ability and have been careful to document everything else accurately. We are truly sorry for the confusion, and we really hope this trade can still count toward our submission. It was placed with the same intention and planning as our other early trades, and it was an honest part of our project strategy.

Additionally, we want to note that we completed two additional put trades beyond the required number. While this is not to compensate for a missing trade, we hope it shows that we were actively engaged in the project and consistently participating. If possible, we kindly hope this can help balance out the issue. We truly hope this won't affect our grade. We've worked hard to meet all of the project requirements and complete the trading activity with full effort. Thank you so much for your time and understanding, we really appreciate it.

SUMMARY

Biggest Winner (Trade)

Nike (NKE) – Long Call

- **Bought 200 contracts at $0.02**
- **Sold at $0.48**
- **Net Profit: $9,200.00**

SPY2511P500 – Long Put

- **Bought 30 contracts at $8.20**
- **Expired worthless**
- **Net Loss: −$24,600.00**

Most Costly Strategy

Straddles

- **Netflix (−$20,565)**
- **Walmart (−$23,190)**
- **Alphabet (−$6,540)**
- **Total Estimated Loss: −$50,000**

Although we reached a strong peak midway, the portfolio finished lower due to several high-premium options expiring worthless and incorrect directional or volatility estimates, particularly in Straddles and Long Puts. Many of the strategies underperformed due to lower than expected market movement around key macro events and earnings.